

How did the owners get the companies in the first place?

They got control through the voucher privatization scheme. Workers were given shares, or vouchers, in their own company. In the two years between the fall of the Soviet Union and the implementation of the voucher privatization program, managements of different companies were siphoning off funds from the money received for exports. They used this money to buy up vouchers from the workers. The workers had no idea what these vouchers were worth. Say, for illustration purposes, each voucher was worth \$10; they would offer the workers \$1 for them.⁵ If a worker had 100 vouchers, that would be \$100. The workers would say, “Really, you will offer me as much as \$1 apiece!” Remember, the workers were extremely impoverished. After the Soviet Union fell, the whole welfare system broke down. A \$100 for their book of vouchers was half their annual salary.

Weren’t there any workers smart enough to hold onto their vouchers?

Those who were, let’s just say, were encouraged to sell. So coming back to the Russian macro situation, it was clear to me that the same thing that happened to Asia was going to happen to Russia because Russia was living beyond its means. If you included the unreported massive capital flight, Russia had a huge balance of payments deficit. Russia was 40 percent of the Eastern European index benchmark. So I went to zero weighting for Russia, which for a long-only fund is an extraordinary thing to do.

What was the timing of your switch of the Russian allocation to cash?

I started selling our Russian holdings in October 1997.

Was there any catalyst for the timing?

The Russian equity market had more than tripled during the Asian crisis as investors fleeing Asia shoveled money into a country that was being touted by brokers as a post-Communist “miracle.” Then came one day in October 1997 when there was a rumor about Yeltsin’s failing health, and the market crashed 23 percent in a single session. Although I was disgusted by Russia at the time, I had been willing to stay in it as long as it kept going up. I wasn’t going to argue with all the idiots who were